Aritzia Inc. (TSX: ATZ)

Consumer Retail Group
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Western Investment Club

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I.

Business Overview & Internal Analysis

Business Overview

ARITZIA

Aritzia is a leading designer and retailer of luxury apparel in North America

Overview

- Founded in 1984, Aritzia (ATZ) is a vertically-integrated, innovative design house and boutique that focuses on creating "Everyday Luxury" apparel
- Headquartered in Vancouver, ATZ operates 104 boutiques across Canada (68) and the United States (36)
- In FY21 the company generated over $857 million in sales
  - 50% e-commerce; 50% retail
  - Management expects FY22 sales of $1.3B (+50%)

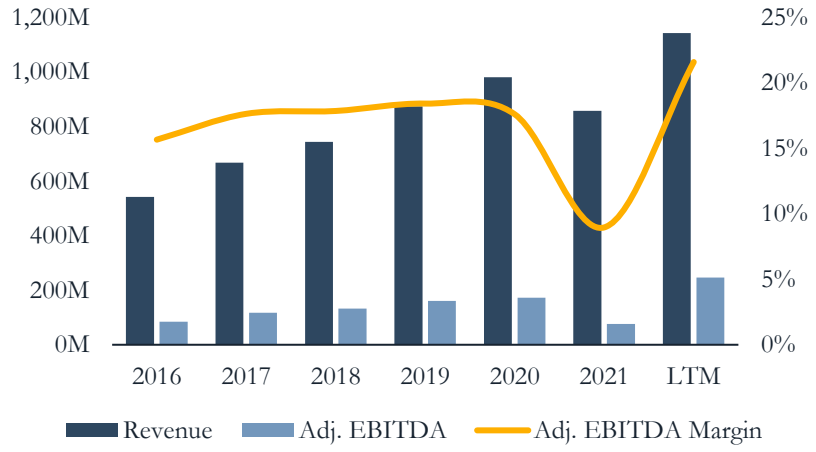
Key Financials

Ticker	TSE:ATZ
Share Price	$49.12
52 Week Low – High	$20.15 – $50.68
Market Capitalization	$5,386M
Enterprise Value	$5,780M
NTM EV/EBITDA	16.4x
NTM P/E	38.5x

Brands

BABATON	TEN BY BABATON	The Group BABATON
wilfred	wilfred free	SUPER WORLD™
Tna	SUNDAY BEST	DENIM FORUM

Historical Financials

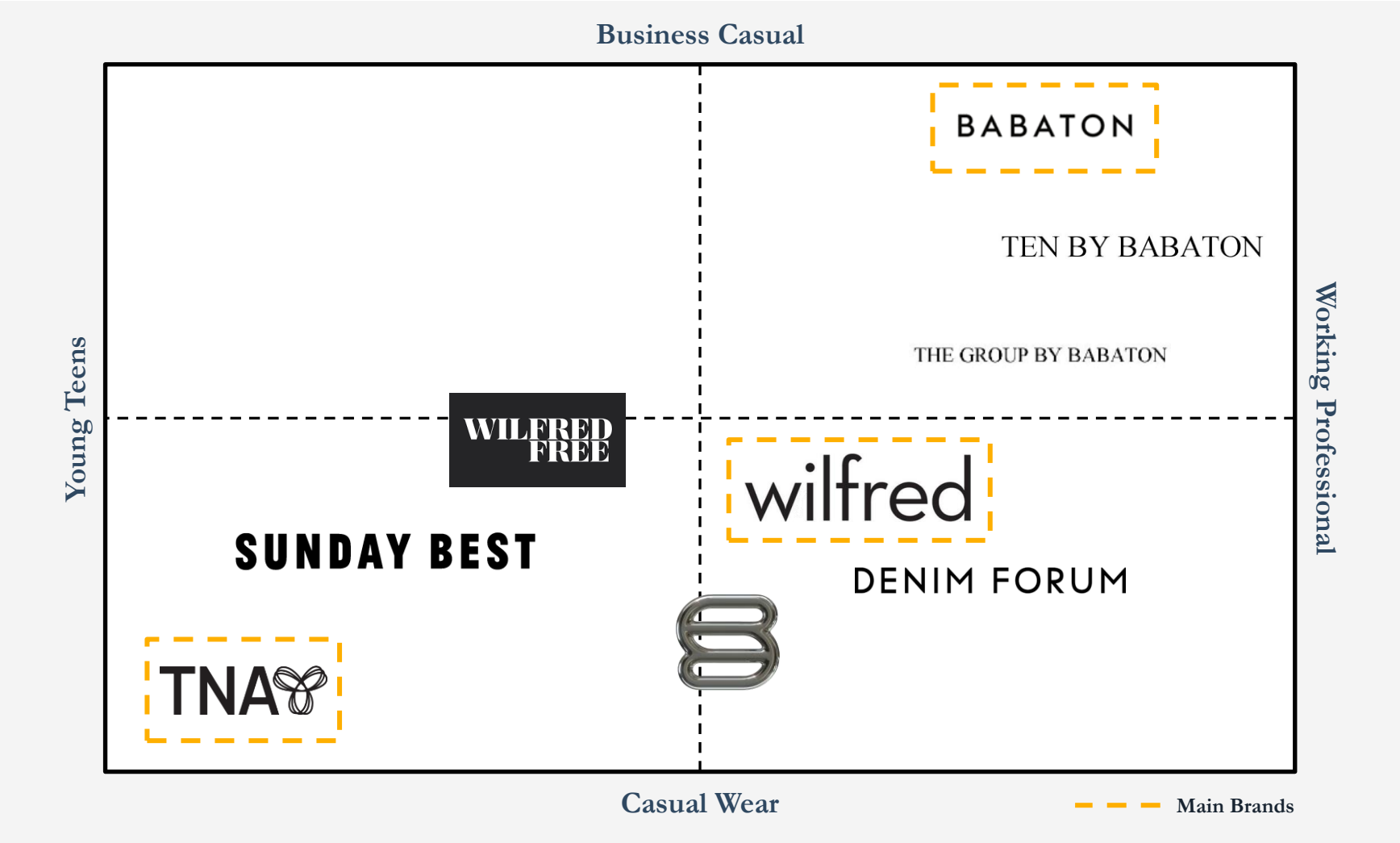


Sources: Capital IQ, Investor Presentation, Company Filings

Aritzia Segment Breakdown

ARITZIA

Aritzia leverages its multi-brand strategy to maximize customer life-time value



Aritzia's Value Proposition & Quality Business Model

ARITZIA

Aritzia's focus on operations & execution drives superior long-term performance relative to peers

Vertically Integrated Best-In-Class Operator

Organizational Culture	Have a culture of high performance and execution that rewards and retains quality employees	**Product Selection**	Focus on iterating 80% of products that sell well, reducing sales risk
Location Selection	Rigorous focus on moving into high-quality locations (careful consideration of location & price)	**Customer Service**	Have a unique rewards program and quality sales associate base
Distribution	Large distribution footprint. Canadian focus has helped circumnavigate supply chain issues and increased gross margin	**Price & Quality**	High quality product for the price being charged to the consumer
Storefronts	Superior store curation, merchandising, ambiance, and overall store experience	**Customer Tracking**	Introduced an app and e-commerce tracking to track interactions between associates and customers

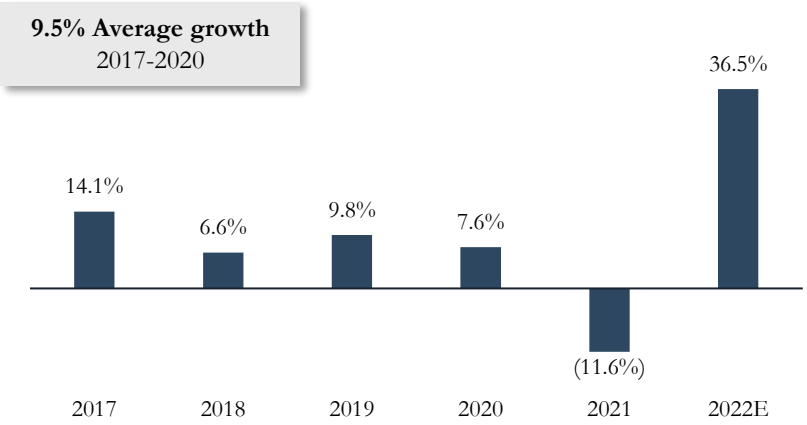
Brand Equity | **Customer Loyalty** | **E-Commerce Defensibility**

Strong Track Record of Organic Growth

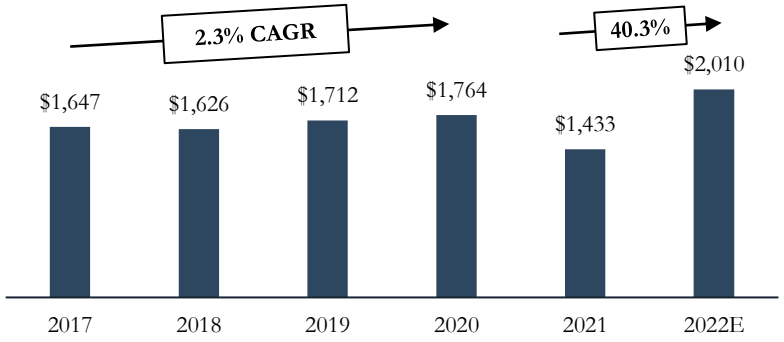
ARITZIA

Aritzia's consistent growth track record gives us confidence in it's ability to continue driving strong results

Historical Comparable Store Sales Growth

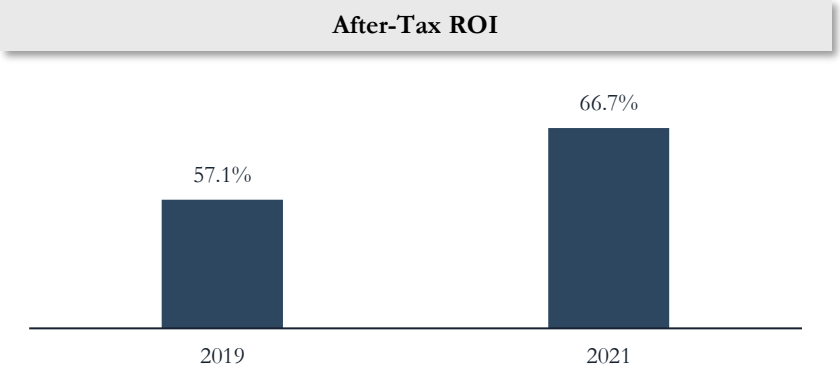


Historical Sales Per Square Foot



Historical Unit Economics

	2019	2021
Boutique Build Cost	$2,500	$2,500
Average Unit Volume	$9,935	$10,487
Boutique-Level Net Income	$1,429	$1,667
% Margin	14%	16%
Payback Period	1.75	1.50

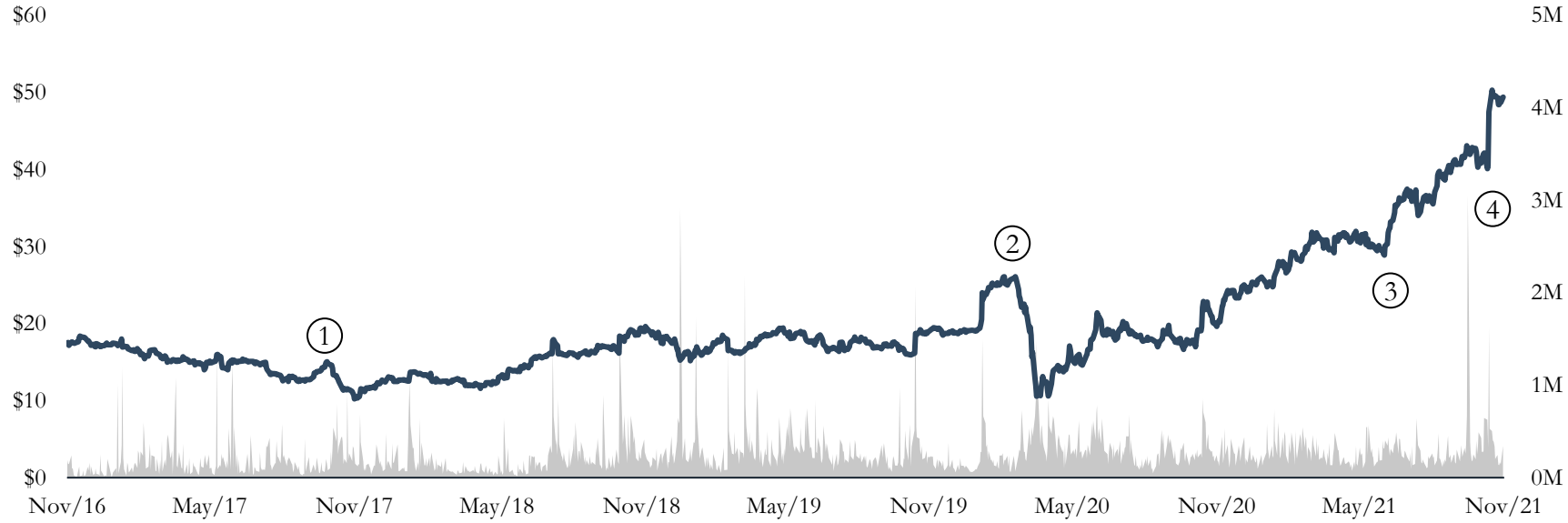


Historical Stock Performance

ARITZIA

ATZ has generated an annualized TSR of 40% over the last four years, double the return of the S&P 500

5-Year Stock Performance



1. **Sept. 24, 2017 –** Q2 FY2018 earnings call revealed lackluster quarter performance due to a lower level of inventory markdowns
2. **Feb. 20, 2020 –** Beginning of COVID-19 driven market crash stemming from investors mass selling
3. **May 30, 2021 –** FY2021 results show 81% YoY increase in e-commerce earnings
4. **Sept. 27, 2021 –** Aritzia beat analyst expectations for net revenue by 18%, achieving 75% YoY net revenue growth

Sources: Yahoo Finance, Aritzia

II.

External Analysis

Consumer Demand

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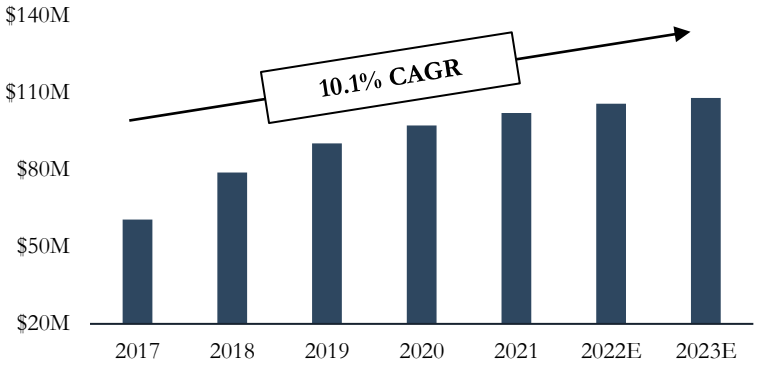
Consumer demand indicates opportunity in social commerce and sustainable, inclusive products

Social Media Driven Purchasing

- Time spent on social media has **increased 51%** since 2012
  - High value marketing opportunity to an engaged audience
- Marketing through **influencers** has grown rapidly since **2016**
  - In 2021, **91%** of apparel retailers promote with influencers
- Aritzia has built an **organic online community**
  - Aritzia's Instagram following has steadily grown **2% monthly**
  - Lululemon's following has grown **0.6% monthly**

US Social Commerce Spending



Women's Apparel Trends in the US

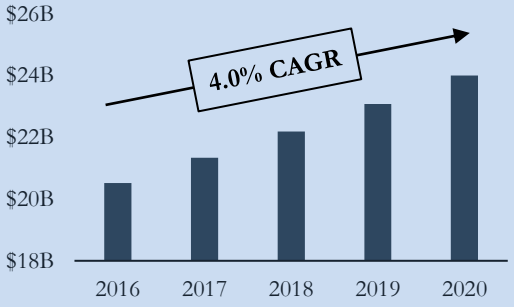
Athleisure

Athleisure clothing is **comfortable** & **aesthetically** appealing

Rapid growth of **work from home** has driven demand for athleisure

COVID-19 has driven **health consciousness** & interest in **exercise**

US Plus-Size Market



Conscious Shopping

Fast fashion brands have faced backlash online due to unsustainable practices

65% of consumers in the US plan to purchase more **durable** clothing following COVID-19

Sources: Harper's Bazaar, WSJ, Statista

Aritzia Competitor Universe

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Aritzia is strategically positioned in the fashion landscape, operating with no clear direct competitors

$$$	Luxury	LVMH	HERMÈS PARIS	GUCCI	SAINT LAURENT
	Sub-Luxury	REVOLVE	COACH	kate spade NEW YORK	RALPH LAUREN
	Everyday Luxury	**ARITZIA**			
	Mid-Market	URBAN OUTFITTERS	GAP	lululemon	
	Fast Fashion	ZARA	H&M	FASHIONNOVA	EVERLANE
$	Discount Brands & Retailers				

Key Women's Apparel Market Segments

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Aritzia competes with a variety of women's retailers through their difference segments

	Market Size	Growth Rates	Aritzia Brands
Athleisure	$105.1B	**7.9% CAGR** from 2021-2028	TNA, SUNDAY BEST
Bus. Casual	$8.6B	**4.1% CAGR** from 2021-2026	wilfred, BABATON
Denim	$11.3B[1]	**3.8% CAGR** from 2021-2026	DENIM FORUM

III.

Investment Thesis

Wide Moat Underpinned by Several Key Advantages

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Moat provides opportunity to continue compounding growth and earnings

Key Advantages & Differentiators

1

High Levels of Client Stickiness

- First-mover advantage in everyday luxury provided substantial customer base; focus on consistency and quality since has driven extreme brand loyalty
- Differentiated formality / life period range / three core product lines have provided high customer lifetime value

2

Vertically Integrated, Best-In-Class Operator

- While ATZ is widely recognized for style popularity, company's true advantage lies in world class operations model
- Vertical integration provides ability to pivot product lines to match consumer demands more quickly than competitors capturing market share, and ensure consistent quality across product lines

3

Brand Equity Yields E-commerce Defensibility

- Brands are more protected against e-commerce giants than simple retailers
- **Revolve** vs. **Aritzia**: Levi's are sold through dozens of retailers; consumer's don't tend to care which retailer they purchase the same jeans from. Denim Forum jeans can only be bought at Aritzia → owning sales channels pays off

4

Customer Concentration Points to Brand Loyalty

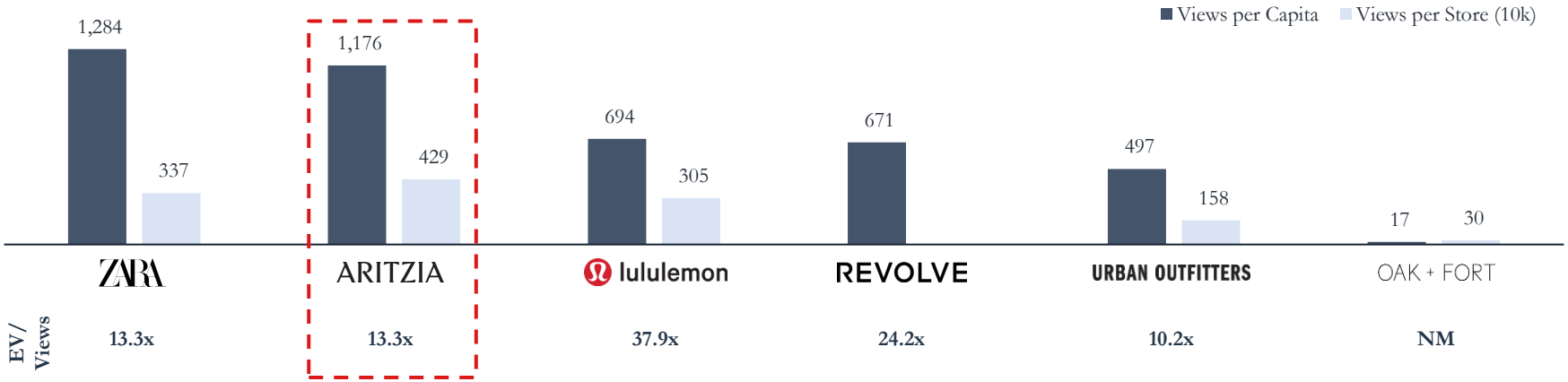
- 80% of sales comes from customers who spend est. >$5,000/year, excluding those who spend in the $50,000 range
- Due to established network effects and Aritzia's proven quality, this concentration indicates opportunity to increase number of clients in this range, and grow via closet share, which is much less expensive than acquiring new clients

Niche Model Provides Outsized Brand Recognition

ARITZIA

Focusing on consumer values rather than customer acquisition spend has provided longer-term advantages

Competitor Networks



Visible Network Effects

- Aritzia's marketing strategy is close to 100% organic – social media posts are generally reposts of clientele; company has historically not completed any TV or print media marketing; reduced influencer spend relative to others
- Company has been able to succeed relying only on these organic marketing methods in large part due to **network effects**
- Innovative products have become **de facto** names for certain clothing items (i.e. Melina Pants, Super Puff)
- De facto identifiers yield increased brand recognition and help company acquire new customers who then become involved in the network, becoming recurring clients with growing annual spend
- Clientele have identifiable commonality; company has created aspirational "*Aritzia Girl*", giving loyal customers ability to recognize signature Aritzia products in variety of settings

Source: independent research

Most Productive Retailer Reaps Benefits

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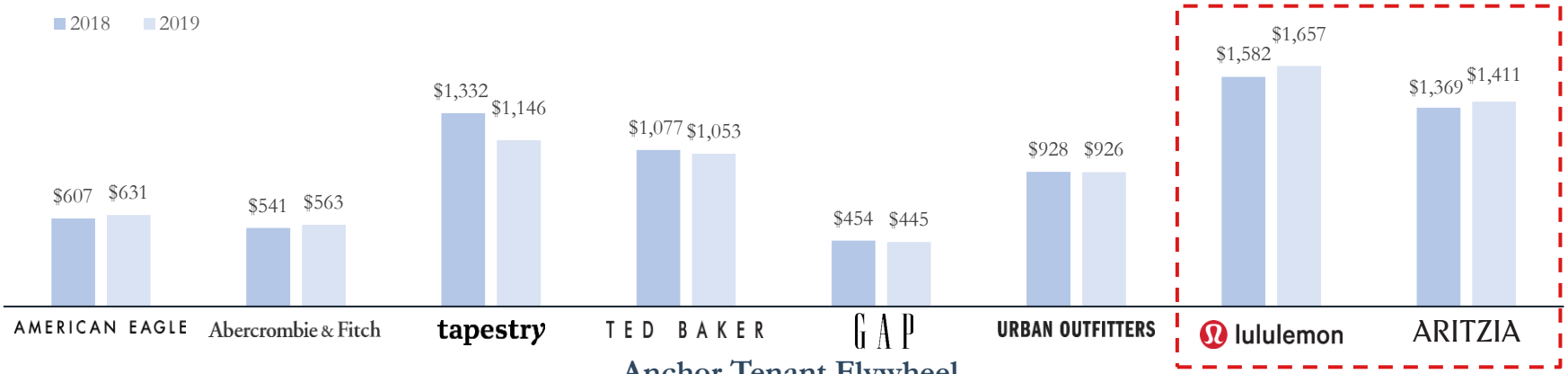
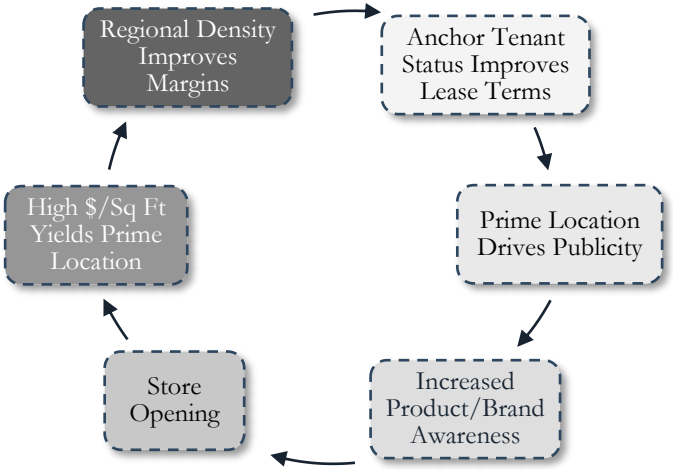
Sustainable moat provides opportunity for consistent growth, driving long-term compounding earnings

Sales / Square Foot Comparison



Anchor Tenant Flywheel

- Aritzia is well recognized as a strong anchor tenant due to its impressive sales per square foot relative to peers; provides access to prime, exclusive real estate offerings not available to all competitors
- CEO Brian Hill's motto for new markets is to either be in the number one location or not in the market at all; reduces number of laggard stores and ensures success of both new stores and marketing efforts in new markets
- Functions as a flywheel; drives **sustainable growth** of sales per square foot and margins
- Impressive return on invested capital & low payback periods for new stores due to compounding benefits in new locations



Success of Brick & Mortar Marketing Strategy

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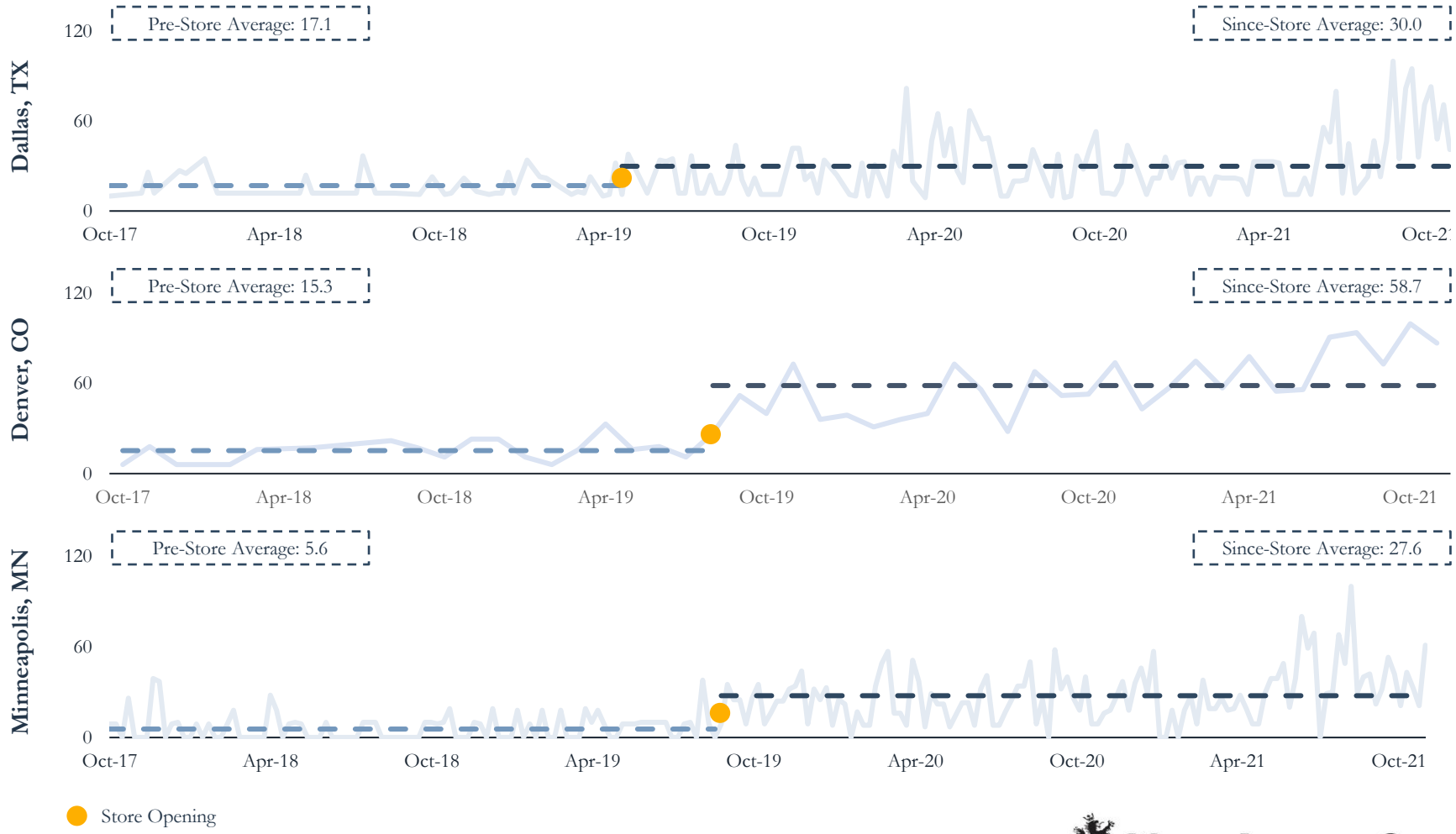
Organic brick & mortar marketing drives virtual consumer attention

Google Search Trajectory vs. New Store Openings



Relative metric; percentage of greatest search performance

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Success of Brick & Mortar Marketing Strategy

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Organic brick & mortar marketing drives virtual consumer attention

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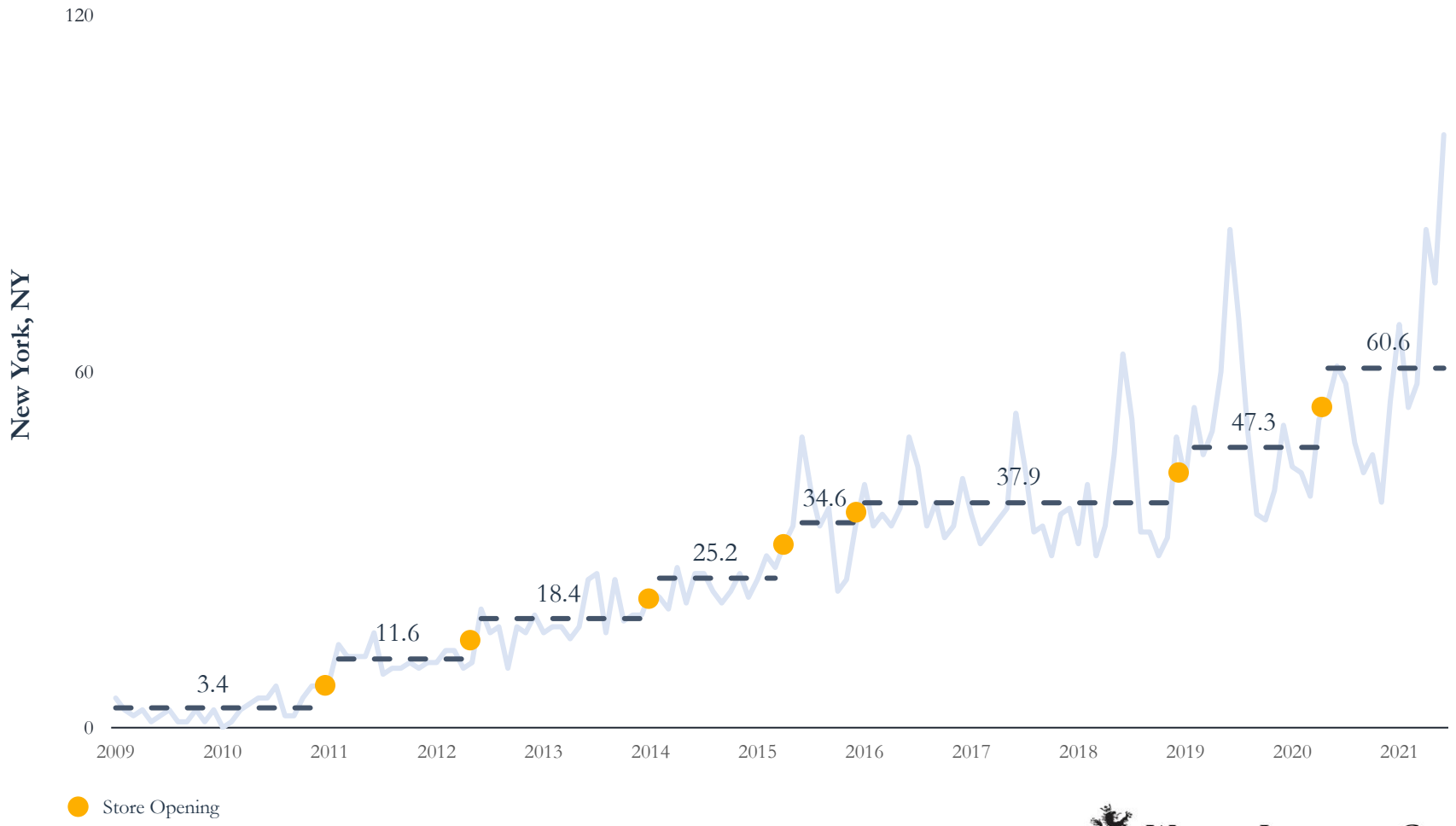

Meaningful E-Commerce Expansion Trajectory

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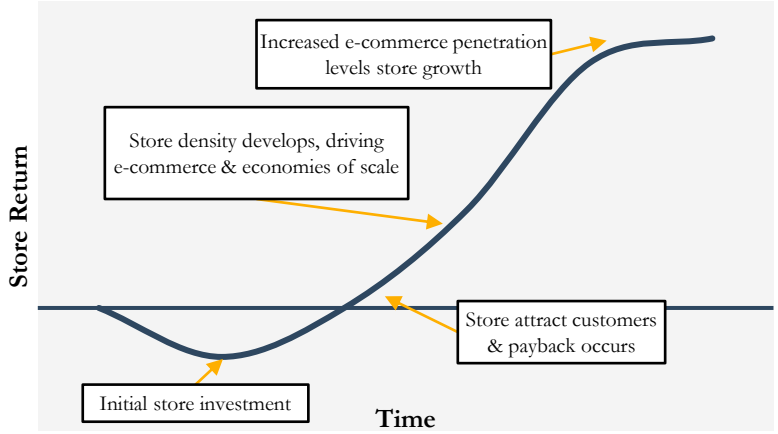
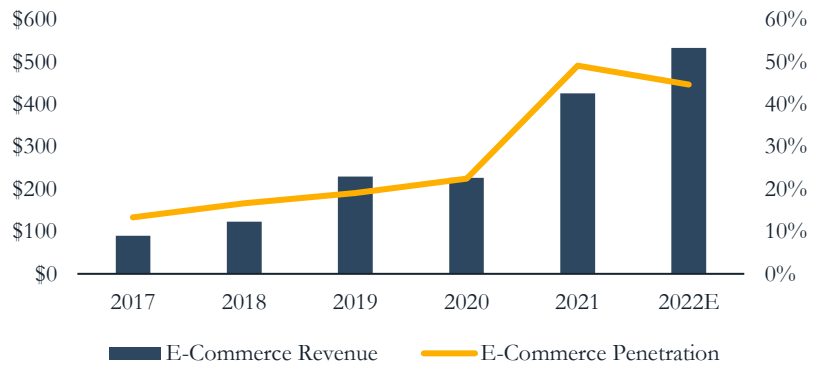
New stores will further reinforce e-commerce and increase margins for Aritzia

E-Commerce Benefit From Store Building



E-Commerce Revenue



E-Commerce & Omnichannel Strategies

Enhanced Digital Experience

- Digital Selling Tools
- Fit Analytics
- Convenient payment solutions (Afterpay)
- Personalization & site optimization
- Digital Concierge & client application

Omnichannel Capabilities

- Shop-in-shop
- Buy online and pickup in store
- Buy online and ship from store

Pushing to digital results in higher margins & greater sales volume: omnichannel customer spend 3x more than in-store shoppers

23%	88%	50%
E-comm Penetration in 2020	YoY E-comm Revenue Growth	E-comm Revenue Penetration in 2021

Underestimated US Expansion Value

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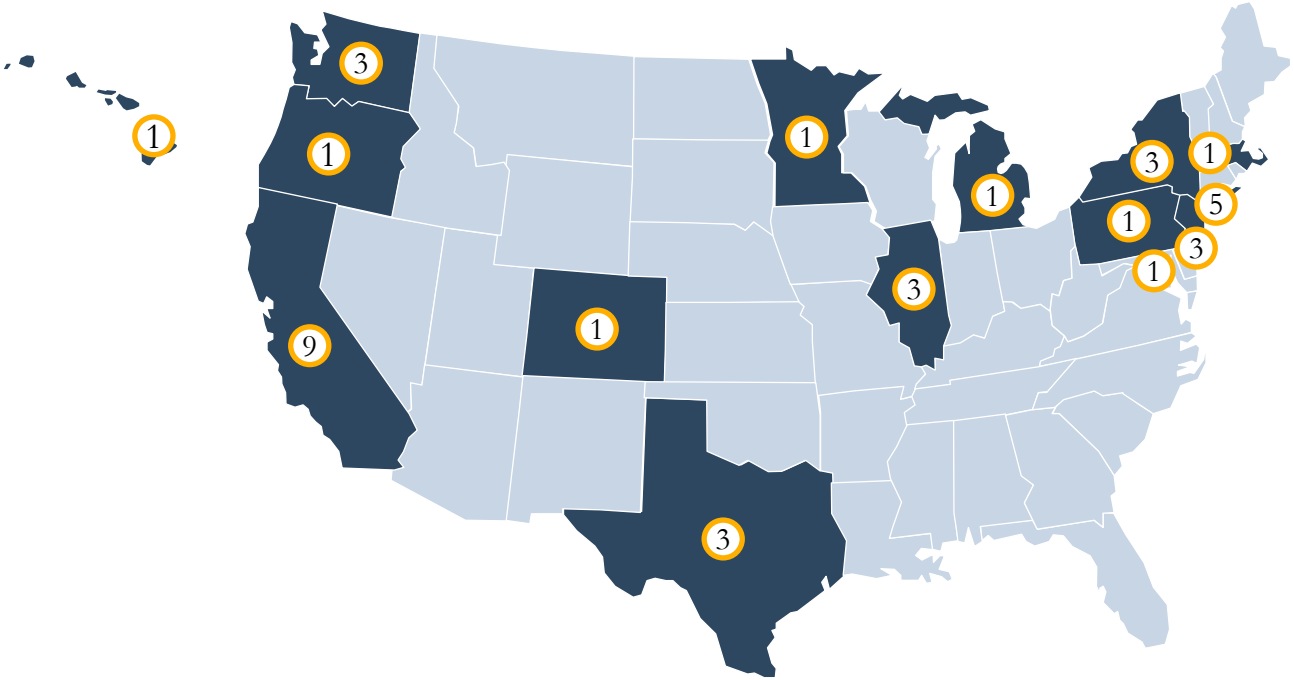
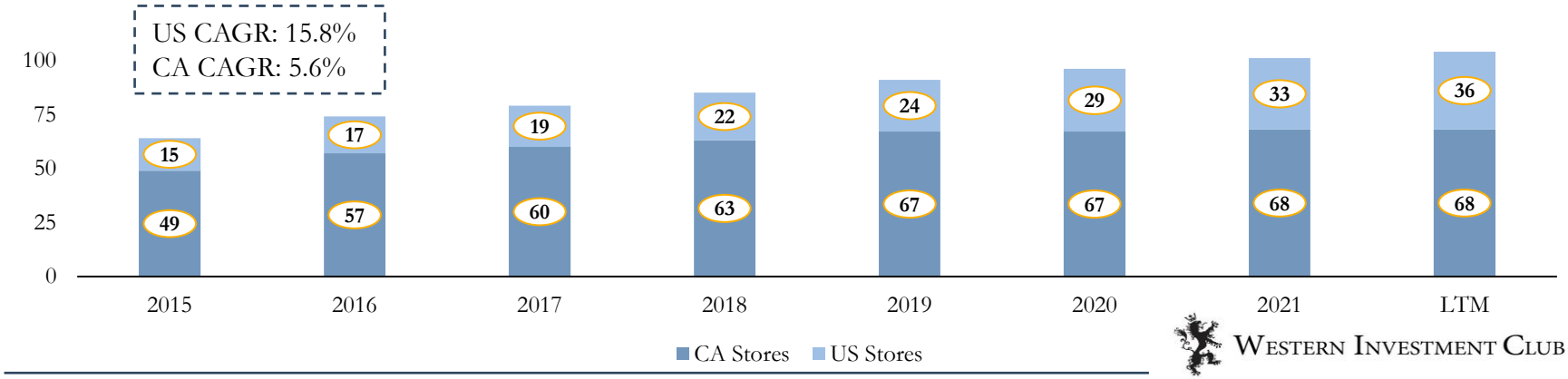
Significant room to increase store density in existing locations and expand into new geographies in the US





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US Market Penetration Evaluation

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Substantial store capacity in US market beyond projected growth

Projected US Store Build

Based off Current Store Locations		
	Avg. Store Count / City	**City Pop / Store**
U.S.	2.00	840,647
Canada	2.63	371,669
Difference in store counts	1.31	2.26
U.S. cities above 300K without an Aritzia store		51

Projected Saturated Store Build		
	HIGH	**LOW**
Implied stores in existing cities	81	47
Implied new stores	134	102
Total	215	149
Average implied saturated store #		**182**

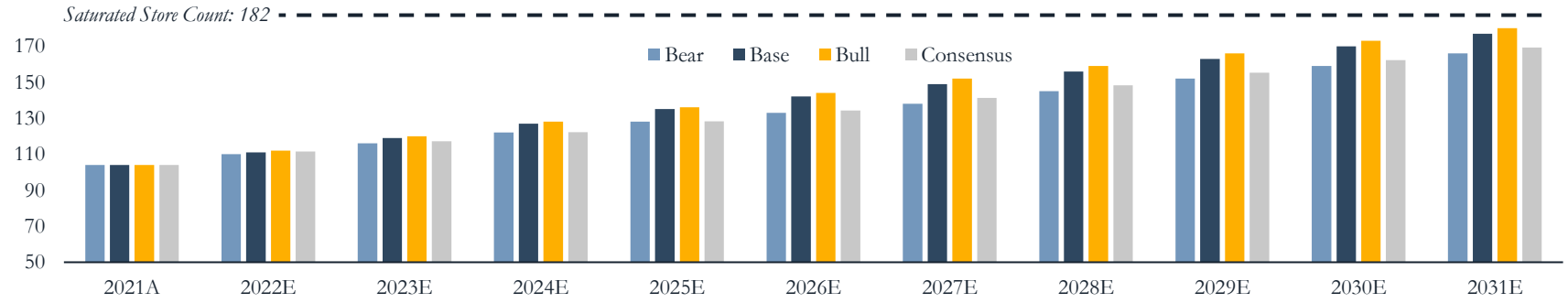
Driving US Store Growth Yields Upside

- Using Canada as a proxy for a saturated market reveals that Aritzia can build between 149 – 215 stores across the US
  - Derived by assuming Aritzia enters all cities with populations above 300,000, and increases store density to Canadian levels (51 US Cities)
- Across each projected scenario, Aritzia yields upside from its current price despite not reaching the derived saturated store growth in the projection period

Continued US store growth yields an attractive upside with a margin of safety

Projected US stores contribute 81% of equity upside

Projected Store Build



Precedent Case Study: Lululemon (NASDAQ:LULU)

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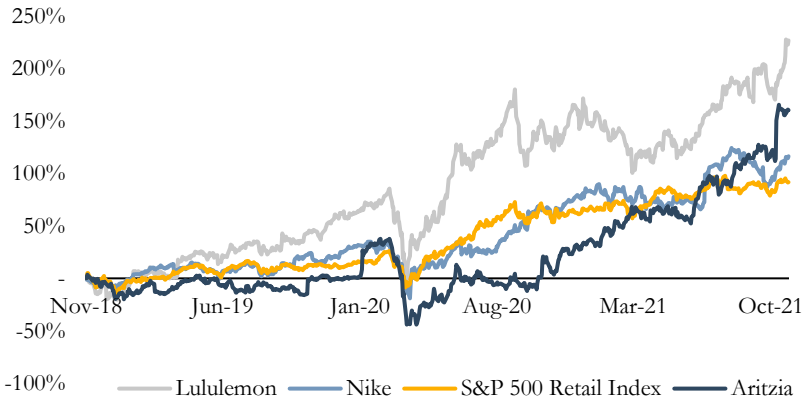
Notable similarities between Aritzia and Lululemon operating model & trajectory

	Aritzia	Lululemon
Origin / Initial Market	Canadian Women	
Expansion Trajectory	CA → US → International	
Distribution Channels	D2C sales channel, strong e-commerce platform	
Market Segment	Premium, higher quality	
Supply Chain	Vertically integrated	
FY 2019 Sales / Square Foot	$1,411	$1,657
Category Created	Everyday Luxury	Athleisure

Detailing Success in The Industry

- Retailers obtain massive benefits through operating at scale within their segment
  - **Lululemon** benefits from being a leading brand resulting in leading higher ticket prices and margins
  - Similarly, **Nike** has dominated sportswear as a result of having the largest scale, advertising budget and sponsored athletes
  - Indicates substantial opportunity for Aritzia in coming years

Three Year Stock Price Comparison



IV.

Valuation

Comparable Companies

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Aritzia currently trades in-line with other growing apparel retailers

Comparable Companies Analysis

($ in millions USD, except share price)

	General			Trading Multiples				Profitability & Growth				
				EV/EBITDA		P/E			Last 3 Year Growth		Next 2 Year Growth	Total Debt /
Company	**Share Price**	**Market Cap**	**Enterprise Value**	**LTM**	**NTM**	**LTM**	**NTM**	**EBITDA Margin**	**Revenue**	**EBITDA**	**Revenue**	**Capital**
Nike	$175.44	$277,690	$276,785	29.8x	34.4x	46.5x	47.2x	18.0%	7.4%	15.3%	10.1%	47.1%
Lululemon	$473.94	$61,524	$61,149	37.8x	37.1x	75.0x	59.0x	24.4%	23.7%	23.6%	28.4%	22.9%
Fast Retailing	$6.21	$71,209	$68,070	17.9x	16.4x	47.7x	42.6x	20.3%	0.0%	14.4%	7.7%	41.7%
Revolve	$77.29	$5,631	$5,410	57.2x	43.4x	63.0x	67.6x	11.9%	18.8%	35.3%	34.9%	0.0%
Gap	$24.84	$9,248	$13,893	5.3x	7.2x	12.5x	10.4x	8.1%	0.3%	(11.8%)	14.6%	70.9%
Ralph Lauren	$129.39	$9,155	$9,581	6.5x	8.9x	23.0x	16.7x	17.3%	(3.6%)	0.1%	18.5%	52.1%
Urban Outfitters	$35.42	$3,462	$4,013	4.7x	7.3x	12.2x	10.9x	11.8%	2.7%	1.5%	16.9%	43.3%
Comparable Universe												
Mean				**22.7x**	**22.1x**	**40.0x**	**36.4x**	**16.0%**	**7.0%**	**11.2%**	**18.7%**	**39.7%**
Median				**17.9x**	**16.4x**	**46.5x**	**42.6x**	**17.3%**	**2.7%**	**14.4%**	**16.9%**	**43.3%**
Aritzia Inc.	**$39.18**	**$5,387**	**$5,780**	**19.7x**	**16.3x**	**54.3x**	**38.4x**	**19.9%**	**12.8%**	**21.4%**	**32.3%**	**55.2%**

Earnings Model – Base Case

ARITZIA

5-year Earnings Model yields an IRR range of 13.7% - 19.2%

Key Drivers

	2022E	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Store Additions (US)	7	8	8	8	7	7	7	7	7	7
Store Additions (CA)	0	3	3	2	2	2	1	0	1	0
Store Expansion / Reposition	6	5	5	4	4	3	1	1	1	1
E-commerce Penetration	40%	41%	42%	43%	44%	45%	46%	46%	46%	46%
Sales per Square Foot	$ 1,191	$ 1,318	$ 1,345	$ 1,377	$ 1,398	$ 1,409	$ 1,447	$ 1,489	$ 1,502	$ 1,516

Net Income Build

Revenue	1,297,591	1,579,454	1,776,334	1,995,963	2,205,310	2,401,398	2,641,821	2,836,888	2,991,547	3,137,282
EBIT	219,345	303,860	348,206	405,260	460,157	509,288	578,886	632,121	665,772	698,155
Net Income	**144,778**	**204,423**	**235,720**	**275,985**	**314,727**	**349,401**	**398,518**	**436,089**	**459,837**	**482,691**
Margin	*11%*	*13%*	*13%*	*14%*	*14%*	*15%*	*15%*	*15%*	*15%*	*15%*

5 Year Earnings, NTM Basis

P/E Multiple	31.55x
2027 Net Income	349,401
FDSO	110,400
Current Share Price	$ 49.12
NV - Share Price	**$ 99.86**
5-yr IRR	**15.25%**
Discount Rate (Cost of Equity)	8.95%
Periods (Incl. Stub & Mid Year)	3.75
PV - Share Price	**$ 72.40**
Implied Upside	**47.40%**
% Cash Attributable	75%
Cash / share (75% attributable)	$ 9.10
NV - Share Price (Incl. Cash)	**$ 108.96**
5-yr IRR	**17.27%**
PV - Share Price (Incl. Cash)	**$ 79.00**
Implied Upside	**60.83%**

10 Year Earnings, LTM Basis

P/E Multiple	25.97x
2031 Net Income	482,691
FDSO	110,400
Current Share Price	$ 49.12
NV - Share Price	**$ 113.53**
10-yr IRR	**9.66%**
Discount Rate (Cost of Equity)	8.95%
Periods (Incl. Stub & Mid Year)	7.75
PV - Share Price	**$ 58.41**
Implied Upside	**18.92%**
% Cash Attributable	75%
Cash / share (75% attributable)	$ 25.57
NV - Share Price (Incl. Cash)	**$ 139.11**
10-yr IRR	**10.97%**
PV - Share Price (Incl. Cash)	**$ 71.57**
Implied Upside	**45.71%**

5-Year IRR

% Cash Attributable	P/E Multiple 29.6x	30.6x	31.6x	32.6x	33.6x
0%	13.7%	14.5%	15.2%	16.0%	16.7%
25%	14.5%	15.2%	15.9%	16.6%	17.3%
50%	15.2%	15.9%	16.6%	17.3%	18.0%
75%	15.9%	16.6%	17.3%	17.9%	18.6%
100%	16.6%	17.2%	17.9%	18.6%	19.2%

10-Year IRR

% Cash Attributable	P/E Multiple 24.0x	25.0x	26.0x	27.0x	28.0x
0%	7.9%	8.3%	8.7%	9.2%	9.5%
25%	8.7%	9.1%	9.5%	9.9%	10.3%
50%	9.5%	9.9%	10.3%	10.6%	11.0%
75%	10.3%	10.6%	11.0%	11.3%	11.6%
100%	11.0%	11.3%	11.6%	12.0%	12.3%

V.

Risks & Catalysts

Risks & Mitigations

ARITZIA

Several risks could have an adverse impact on Aritzia's performance

	Details	Mitigation
Extended Supply Chain Issues	▪ Despite Aritzia's mitigations to supply chain concerns, **lasting global issues** could affect the company ▪ Supply chain delays can negatively impact **inventory** levels & **profitability**	▪ Aritzia's higher **price point** & **consumer loyalty** provides ability to pass increased costs to consumers, limiting margin impact ▪ **Vertically integrated** model reduce pressure points in supply chain
Unsuccessful Acquisitions & Integration of Menswear	▪ Reigning Champ is ATZ's **first expansion** into men's clothing after **30+** years; **risk of poor reception** from male market in comparison to female market ▪ Reigning Champ is ATZ's **first acquisition**; risk **of poor integration**	▪ Testing men's market via acquisition requires **less** up-front investment & opportunity to **rebrand** ▪ Company has phased out other in-house brands in the past
Underperformance & Penetration in the US	▪ Larger competitors in the US, smaller relative presence & lack of history/experience make **US market more challenging** than Canadian ▪ Potentially difficult **to replicate successful CA model**	▪ ATZ's expansion strategy of one store per city in prime location **mitigates overinvestment** in unsuccessful markets ▪ Even if company can't penetrate markets to same extent as CA, the US market is still **10x CA** providing meaningful opportunity

Catalysts

ARITZIA

Through strong company performance there are a variety of events that will drive share price appreciation

Buyback Program Resumption & Returning Value to Shareholders

- Company paused share buybacks in FY2021, though intends to resume program in coming years; no specific timing given – focusing on expanding primarily
- While company intends to focus on capital reinvestment, cash flow from operations substantially exceeds need for reinvestment

Short Term

Margin Expansion In Less Mature Markets

- As Aritzia develops store density in new markets and continues its focus on e-commerce, its profitability will significantly increase and drive value
- Due to regional operating model with differentiated staffing structure, regional density provides operating leverage; as numerous US locations are sole stores in new cities, company will see increased percentage of markets at scale, improving margins
- As box stores are company's number one marketing effort, regional density is also expected to increase brick & mortar and e-commerce sales over time

Medium Term

Expansion of Products & Into International Markets

- Upon building scale in the US, management intends to move into international markets unlocking new opportunities across the globe
- Can replicate past new market expansion strategy, improving rollout in future expansions
- Potential to result in dual-listing in US, or addition to various indexes

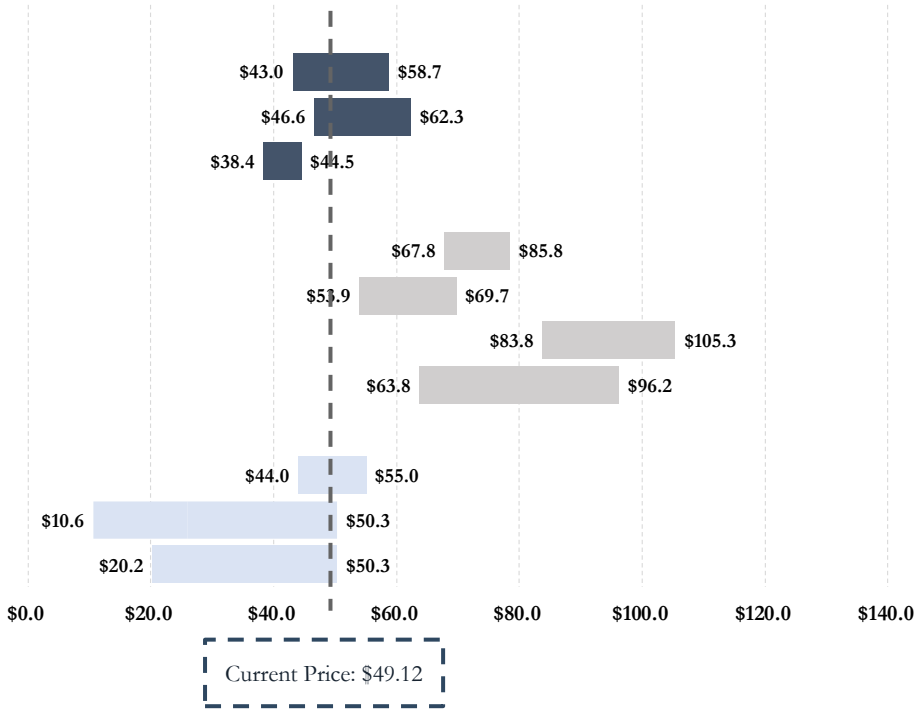
Long Term

Investment Summary

ARITZIA

Football Field Valuation

	Methodology	Range	Multiple	COE
Valuation Analysis	*Public Companies*			
	TEV / NTM EBITDA	16.6x - 22.2x		
	EQV / NTM Price-to-Earnings	37.0x - 40.0x		
	EQV / LTM Price-to-Earnings	40.6x - 47.1x		
	Intrinsic Analysis			
	Earnings Model - Base		30.6x - 32.6x	9.0%
	Earnings Model - Bear		30.6x - 32.6x	9.0%
	Earnings Model - Bull		30.6x - 32.6x	9.0%
	DCF Analysis		30.6x - 32.6x	8.0% - 10.0%
Market	*Trading Range:*			
	Analyst Price Target Low-High			
	2-Year Low-High			
	1-Year Low-High			



Investment Summary

ARITZIA

Significant opportunity in existing expansion plan & operational structure

Core Bet on Aritzia

Wide & robust economic moat with B&M expansion strategy provides unaccounted for benefits

- US market is both larger and better suited to Aritzia clientele relative to Canadian market; street is underestimating this potential and management's ability to capitalize
- Company is in prime position to capitalize on this opportunity in the coming 5-10 years with no non-lease debt on the balance sheet

Underestimated US growth runway

- Developed network effects provide insulation against competitors, longer customer lifetime value with comprehensive product offerings develops a unique value proposition in the Aritzia-coined "Everyday Luxury" segment
- Anchor tenant flywheel with brick & mortar marketing strategy provides unique opportunity to compound earnings both via e-commerce and brick & mortar; new stores have greater impact on operations than simply additional revenue from square footage

Recommendation

Buy Aritzia (TSX:ATZ) at **$49.12** for an IRR of **~8% – 19%** or implied upside of **~19% – 40%**

Business Summary

- Best-in-class retailer with strong unit economics and a large run-way for growth

Investment Summary

- Betting on continued US store growth, ability to drive organic consumer demand, and strong consumer value proposition will drive equity upside

VI.

Appendix

Earnings Model – Bull Case

ARITZIA

5-year Earnings Model yields an IRR range of 18.7% - 24.2%

Key Drivers

	2022E	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Store Additions (US)	8	8	8	8	8	8	7	7	7	7
Store Additions (CA)	0	3	3	3	2	2	1	1	1	1
Store Expansion / Reposition	6	6	6	6	6	6	2	2	2	2
E-commerce Penetration	45%	46%	47%	48%	49%	50%	50%	50%	50%	50%
Sales per Square Foot	$ 1,191	$ 1,318	$ 1,345	$ 1,377	$ 1,398	$ 1,409	$ 1,447	$ 1,489	$ 1,502	$ 1,516

Net Income Build

Revenue	1,424,647	1,739,214	1,960,980	2,221,534	2,471,944	2,712,302	2,929,379	3,156,565	3,326,230	3,485,002
EBIT	268,902	366,845	421,402	492,468	561,378	625,783	685,663	749,087	788,765	823,395
Net Income	**179,752**	**248,874**	**287,377**	**337,530**	**386,162**	**431,616**	**473,875**	**518,635**	**546,637**	**571,077**
Margin	*13%*	*14%*	*15%*	*15%*	*16%*	*16%*	*16%*	*16%*	*16%*	*16%*

5 Year Earnings, NTM Basis

P/E Multiple	31.55x
2027 Net Income	431,616
FDSO	110,400
Current Share Price	$ 49.12
NV - Share Price	**$ 123.36**
5-yr IRR	**20.22%**
Discount Rate (Cost of Equity)	8.95%
Periods (Incl. Stub & Mid Year)	3.75
PV - Share Price	**$ 89.44**
Implied Upside	**82.08%**
% Cash Attributable	75%
Cash / share (75% attributable)	$ 10.54
NV - Share Price (Incl. Cash)	**$ 133.90**
5-yr IRR	**22.21%**
PV - Share Price (Incl. Cash)	**$ 97.08**
Implied Upside	**97.64%**

10 Year Earnings, LTM Basis

P/E Multiple	25.97x
2031 Net Income	571,077
FDSO	110,400
Current Share Price	$ 49.12
NV - Share Price	**$ 134.32**
10-yr IRR	**11.73%**
Discount Rate (Cost of Equity)	8.95%
Periods (Incl. Stub & Mid Year)	7.75
PV - Share Price	**$ 69.11**
Implied Upside	**40.70%**
% Cash Attributable	75%
Cash / share (75% attributable)	$ 29.62
NV - Share Price (Incl. Cash)	**$ 163.94**
10-yr IRR	**12.81%**
PV - Share Price (Incl. Cash)	**$ 84.35**
Implied Upside	**71.72%**

5-Year IRR

% Cash Attributable	P/E Multiple 29.6x	30.6x	31.6x	32.6x	33.6x
0%	18.7%	19.4%	20.2%	21.0%	21.7%
25%	19.4%	20.1%	20.9%	21.6%	22.4%
50%	20.1%	20.8%	21.6%	22.3%	23.0%
75%	20.7%	21.5%	22.2%	22.9%	23.6%
100%	21.4%	22.1%	22.8%	23.5%	24.2%

10-Year IRR

% Cash Attributable	P/E Multiple 24.0x	25.0x	26.0x	27.0x	28.0x
0%	9.7%	10.1%	10.6%	11.0%	11.4%
25%	10.5%	11.0%	11.4%	11.8%	12.1%
50%	11.3%	11.7%	12.1%	12.5%	12.8%
75%	12.1%	12.4%	12.8%	13.2%	13.5%
100%	12.8%	13.1%	13.5%	13.8%	14.1%

Earnings Model – Bear Case

ARITZIA

5-year Earnings Model yields an IRR range of 8.7% - 14.4%

Key Drivers

	2022E	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Store Additions (US)	6	6	6	6	5	5	7	7	7	7
Store Additions (CA)	0	1	1	1	1	1	0	0	0	0
Store Expansion / Reposition	6	3	3	2	2	1	0	0	0	0
E-commerce Penetration	40%	40%	41%	41%	42%	42%	43%	43%	44%	44%
Sales per Square Foot	$ 1,191	$ 1,318	$ 1,345	$ 1,377	$ 1,398	$ 1,409	$ 1,447	$ 1,489	$ 1,502	$ 1,516

Net Income Build

Revenue	1,289,255	1,502,443	1,645,812	1,781,390	1,929,795	2,030,362	2,222,217	2,389,529	2,562,207	2,687,500
EBIT	218,630	285,887	319,433	350,548	389,184	408,000	461,013	503,378	547,934	572,494
Net Income	**144,274**	**191,739**	**215,414**	**237,373**	**264,639**	**277,919**	**315,331**	**345,230**	**376,675**	**394,008**
Margin	*11%*	*13%*	*13%*	*13%*	*14%*	*14%*	*14%*	*14%*	*15%*	*15%*

5 Year Earnings, NTM Basis

P/E Multiple	31.55x
2027 Net Income	277,919
FDSO	110,400
Current Share Price	$ 49.12
NV - Share Price	**$ 79.43**
5-yr IRR	**10.09%**
Discount Rate (Cost of Equity)	8.95%
Periods (Incl. Stub & Mid Year)	3.75
PV - Share Price	**$ 57.59**
Implied Upside	**17.24%**
% Cash Attributable	75%
Cash / share (75% attributable)	$ 8.76
NV - Share Price (Incl. Cash)	**$ 88.19**
5-yr IRR	**12.42%**
PV - Share Price (Incl. Cash)	**$ 63.94**
Implied Upside	**30.17%**

10 Year Earnings, LTM Basis

P/E Multiple	25.97x
2031 Net Income	394,008
FDSO	110,400
Current Share Price	$ 49.12
NV - Share Price	**$ 92.67**
10-yr IRR	**7.22%**
Discount Rate (Cost of Equity)	8.95%
Periods (Incl. Stub & Mid Year)	7.75
PV - Share Price	**$ 47.68**
Implied Upside	**-2.93%**
% Cash Attributable	75%
Cash / share (75% attributable)	$ 22.66
NV - Share Price (Incl. Cash)	**$ 115.33**
10-yr IRR	**8.91%**
PV - Share Price (Incl. Cash)	**$ 59.34**
Implied Upside	**20.80%**

5-Year IRR

% Cash Attributable	P/E Multiple 29.6x	30.6x	31.6x	32.6x	33.6x
0%	8.7%	9.4%	10.1%	10.8%	11.5%
25%	9.5%	10.2%	10.9%	11.6%	12.2%
50%	10.3%	11.0%	11.7%	12.3%	13.0%
75%	11.1%	11.8%	12.4%	13.1%	13.7%
100%	11.9%	12.5%	13.2%	13.8%	14.4%

10-Year IRR

% Cash Attributable	P/E Multiple 24.0x	25.0x	26.0x	27.0x	28.0x
0%	5.7%	6.1%	6.6%	7.0%	7.3%
25%	6.6%	7.0%	7.4%	7.8%	8.1%
50%	7.4%	7.8%	8.2%	8.5%	8.9%
75%	8.2%	8.6%	8.9%	9.2%	9.6%
100%	8.9%	9.3%	9.6%	9.9%	10.2%

Illustrative DCF

ARITZIA

Both 5- and 10-year projection periods indicate ~50% implied upside

Free Cash Flow Build

	2022E	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	1,297,591	1,579,454	1,776,334	1,995,963	2,205,310	2,401,398	2,641,821	2,836,888	2,991,547	3,137,282
EBIT	219,345	303,860	348,206	405,260	460,157	509,288	578,886	632,121	665,772	698,155
Net Income	144,778	204,423	235,720	275,985	314,727	349,401	398,518	436,089	459,837	482,691
(+) D&A	90,516	100,125	110,464	121,167	132,397	144,154	156,153	168,626	181,922	195,509
(-) Capital Expenditures	(77,631)	(96,085)	(103,388)	(107,035)	(112,300)	(117,573)	(119,991)	(124,726)	(132,963)	(135,869)
(-) Changes in Net Working Capital	(11,112)	(11,954)	(8,350)	(9,315)	(8,879)	(8,316)	(10,197)	(8,273)	(6,559)	(6,181)
Levered Free Cash Flow	146,551	196,508	234,445	280,802	325,946	367,665	424,484	471,715	502,237	536,150
EBITDA	*309,861*	*403,984*	*458,670*	*526,427*	*592,554*	*653,442*	*735,039*	*800,747*	*847,694*	*893,664*
LFCF Margin	*11%*	*12%*	*13%*	*14%*	*15%*	*15%*	*16%*	*17%*	*17%*	*17%*
Stub	0.250	1.250	2.250	3.250	4.250	5.250	6.250	7.250	8.250	9.250
Mid-Year	0.125	0.750	1.750	2.750	3.750	4.750	5.750	6.750	7.750	8.750
Discount Factor	0.989	0.938	0.861	0.790	0.725	0.665	0.611	0.561	0.515	0.472
Discounted LFCF	**144,989**	**184,269**	**201,778**	**221,816**	**236,319**	**244,663**	**259,261**	**264,434**	**258,408**	**253,189**

Terminal Value - P/E 5yr

Terminal Year Net Income	314,727
Exit Multiple	31.55x
Terminal Value	9,929,648
PV Terminal Value	7,199,257
PV LFCF	989,171
Equity Value	**8,188,428**
FDSO	110,400
Implied Share Price	$74.17
Current Share Price	$49.82
Implied Upside	*48.9%*

Terminal Value - P/E 10yr

Terminal Year Net Income	482,691
Exit Multiple	25.97x
Terminal Value	12,534,082
PV Terminal Value	5,919,042
PV LFCF	2,269,127
Equity Value	**8,188,169**
FDSO	110,400
Implied Share Price	$74.17
Current Share Price	$49.82
Implied Upside	*48.9%*

Cost of Equity

Risk Free Rate	2.5%
Levered Beta	1.37
Equity Risk Premium	4.7%
Cost of Equity	9.0%

Illustrative DCF – Sensitivity

ARITZIA

5 Year DCF Sensitivity

Implied Share Price

Cost of Equity	Exit Multiple 30.55x	31.05x	31.55x	32.05x	32.55x
8.0%	$74.49	$75.56	$76.63	$77.70	$78.77
8.5%	$73.29	$74.34	$75.39	$76.44	$77.49
9.0%	$72.10	$73.14	$74.17	$75.20	$76.24
9.5%	$70.95	$71.96	$72.98	$73.99	$75.01
10.0%	$69.81	$70.81	$71.81	$72.81	$73.81

Implied Upside

Cost of Equity	Exit Multiple 30.55x	31.05x	31.55x	32.05x	32.55x
8.0%	49.5%	51.7%	53.8%	56.0%	58.1%
8.5%	47.1%	49.2%	51.3%	53.4%	55.5%
9.0%	44.7%	46.8%	48.9%	51.0%	53.0%
9.5%	42.4%	44.4%	46.5%	48.5%	50.6%
10.0%	40.1%	42.1%	44.1%	46.1%	48.1%

10 Year DCF Sensitivity

Implied Share Price

Cost of Equity	Exit Multiple 24.97x	25.47x	25.97x	26.47x	26.97x
8.0%	$77.35	$78.47	$79.59	$80.71	$81.83
8.5%	$74.67	$75.75	$76.82	$77.90	$78.97
9.0%	$72.10	$73.14	$74.17	$75.20	$76.23
9.5%	$69.64	$70.63	$71.63	$72.62	$73.61
10.0%	$67.29	$68.24	$69.19	$70.14	$71.10

Implied Upside

Cost of Equity	Exit Multiple 24.97x	25.47x	25.97x	26.47x	26.97x
8.0%	55.3%	57.5%	59.8%	62.0%	64.2%
8.5%	49.9%	52.0%	54.2%	56.4%	58.5%
9.0%	44.7%	46.8%	48.9%	50.9%	53.0%
9.5%	39.8%	41.8%	43.8%	45.8%	47.8%
10.0%	35.1%	37.0%	38.9%	40.8%	42.7%

Market Views

ARITZIA

Bear

- Aritzia faces many exogenous risks due to consumer preferences, and the company's multi-brand strategy does not provide a stable economic moat
- Short-term headwinds include government mobility restrictions due to COVID-19
- Consumer propensity to spend on luxury goods has yet to recover
- Operates in a highly scrutinized environment that could impact their brand negatively in the event of a misstep

Bull

- Aritzia benefits from its exceptional e-commerce platform, small brick and mortar footprint, unique operating model, & brand positioning
- Funded by its ability to generate free cash flow, Aritzia will achieve double-digit revenue growth in the foreseeable future
- Aritzia is now ahead of its pre-pandemic trajectory with the US market fulfilling its potential

WIC

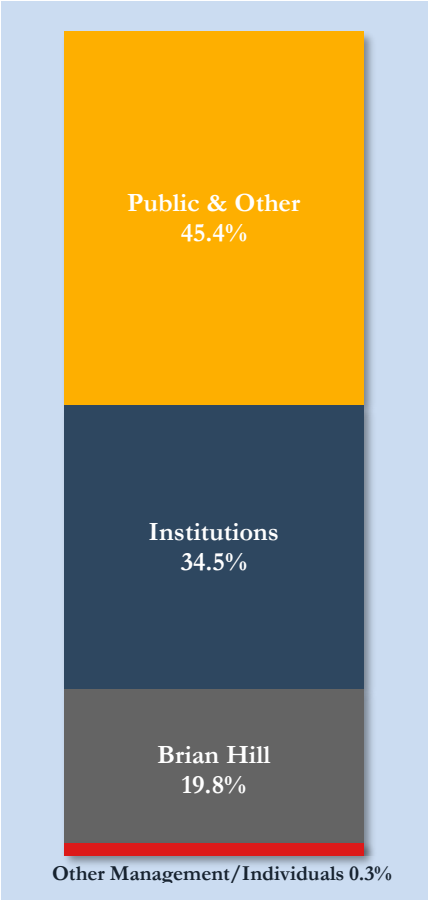
- Consistent long-term growth will be achieved through its long-term compounding earnings
- Aritzia will achieve sustainable growth by building stores in new geographies, reinforcing e-commerce and increasing margins
- Aritzia will maintain its core competencies, keeping it as a unique business among competitors
- Aritzia's wide variety of brands allows them to serve women in multiple life stages

Ownership Breakdown & Management

ARITZIA

Aritzia sports a strong & experienced management team that is invested in the firm's success

Ownership Breakdown



Management Team

Brian Hill, Founder & CEO
As a third-generation retailer, Mr. Hill has led the company since 1984, and as a board member since 2005.

Karen Kwan, CPCO
Overseeing all aspects of people & office culture, Ms. Kwan joined in 2017 after spending nearly a decade at Lululemon.

Jennifer Wong, Pres & COO
Beginning as a sales associate in 1987, Ms. Wong became COO in 2007 and over sees all aspects of operations and growth.

Dave Maclver, CIO
Mr. Maclver oversees all IT processes and has implemented all WMS, ERP, and e-commerce capabilities since joining in 2005.

Todd Ingledew, CFO
Mr. Ingledew oversees all FP&A of the firm, joining the firm in 2016 from his previous position as CFO at Fitness World.

Pippa Morgan, EVP Retail
EVP since 2010, Ms. Morgan joined the company as a sales associate 1992, and oversees all aspects of the retail experience.

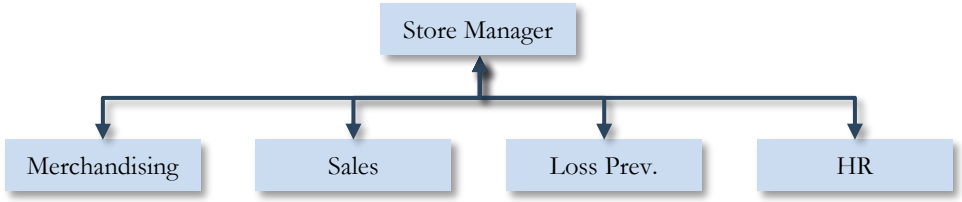
Differentiated Corporate Strategy

ARITZIA

Aritzia's unique organization structure and employee culture drives market-leading sales

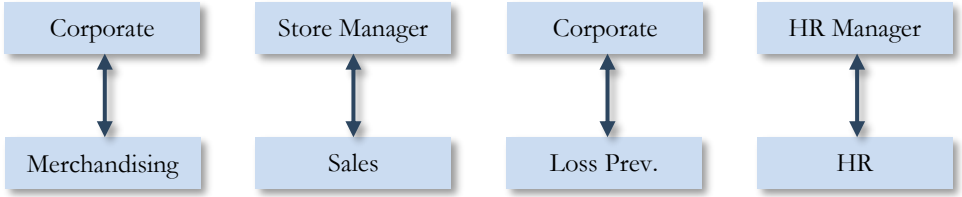
Organization Structure

Traditional Retailer



In a traditional retail store, the store manager wears "all hats"

Aritzia



At Aritzia, each role is specialized and the store manager focuses solely on driving sales

Homegrown Culture

- Aritzia prides itself on developing quality employees that have not had previous retail experience
- At Aritzia, 90% of the top 25% of sales people are estimated to be homegrown
- Due to Aritzia's unique minimum wage + commission structure, the top 25% of sales people stay at Aritzia long-term as other brands (e.g. Lululemon) do not offer commissions
  - The top 25% can regularly sell $1,000 - $3,000 an hour
- Many sr. positions are also filled by homegrown employees such as the COO who began as a sales associate in 1987

*"Aritzia is **a great place to work if you're willing to put effort** and energy into learning how to do well and how to further develop yourself in your role" – Indeed*

Sources: Expert Interview

Industry Trends

ARITZIA

Apparel retailers are working to build upon the consumer experience wherever they shop

Omni-Channel Retail

Brick & Mortar	Online Shopping	In-Store Pickup	Mobile App

A Convenient & Flexible Shopping Experience

- Omni-channel retail **connects sales channels** to create a **seamless & transferable** shopping experience
- Removing channel barriers **empowers customers** to interact with companies in the way they prefer
- Increased shopping flexibility contributes to **23%** more repeat shopping trips and **9%** higher spending on average
- Retailers like Lululemon, Zara, Urban Outfitters, and Reformation have **introduced mobile apps**
  - Adds a touchpoint for marketing & sales
- Aritzia has **improved continuity** between online & in-store shopping through introducing a **concierge service**
  - Provides reactive customer service online

Enhancing the Online Experience

- **Digital memberships** that provide exclusive sales & discounts build brand affinity
- **Paid** memberships also provide **recurring revenue** that encourages repeat customers

- Low-cost & fast **shipment** options mimic the instant satisfaction of in-store shopping
- Builds consumer satisfaction

- **Live customer service** reduces purchase uncertainty & increases online **engagement**
- Key component of differentiation

- **Delayed and alternative payment** services provide consumers with additional online **security** & encourage **higher spending**

Sources: Forbes, Harvard Business Review

Supply Chain Context

ARITZIA

Global supply chains are under immense stress to meet rising demands with little human capital

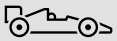
Supply Chain Delays

- Supply chains are under immense pressure, as consumer demand has **increased shipments** from Asia by **25%**
  - The US is also experiencing **labour shortages** in **key logistics roles** that reduce offloading capacity
- The port of LA, the largest port in the US is experiencing lines of **50+ ships** due to congestion, up from **0-1** in **2019**
- Moving goods by truck is also difficult as the American Trucking Association **driver deficit** increased by **30%**

Manufacturing Delays

- COVID-19 effects threaten producer **margins** through **reduced productivity** & increased **pay expectations**
  - These costs are passed on to retailers
- Aritzia is insulated from issues as they **own 95%** of their garment production & produce in **diverse geographies**
  - Production is operating at **80-100% capacity**

Alternative Transportation Methods



- Select shippers provide **expedited shipping** at a mark-up to capitalize on retailer demand for inventory
- The global Freight Rate Index has **increased 726%** since **March 2020**

- Companies desperate to meet inventory demands **charter ships** when usual suppliers are **unable to meet their demand**

- To avoid delays at the Port of Los Angeles some companies have **rerouted shipments** to other North American ports
  - Aritzia has utilized this to avoid congestion in the Port of Los Angeles **reducing delays by 30-50%**

Sources: Forbes, ATS,

Comparable Companies Analysis

ARITZIA

Competitive Landscape

ARITZIA

Other brands lack some aspect of what Aritzia offers

	Price	Online Presence	Strong Brand	High Quality
REVOLVE	$$	✓		✓
URBAN OUTFITTERS	$	✓		
lululemon	$$	✓		
RALPH LAUREN	$$$		✓	✓
GAP	$		✓	✓
ARITZIA	$$	✓	✓	✓

Competitor Profiles

ARITZIA

REVOLVE

- Revolve is a online-first fashion retailer based in California with a deep presence in popular and social media
- They sell a wide variety of items – ranging from formal clothing to even casual accessories
- Revolve's customers are typically Gen Z and millennials

URBAN OUTFITTERS

- Urban Outfitters is retail corporation that sells products under brands including Urban Outfitters and Terrain
- UO is known for targeting teenagers and young adults who are interested in the hipster subculture and alt fashion
- Urban Outfitter's target market are 18–28 year old's

Competitor Profiles

ARITZIA

lululemon

- Lululemon is a Canadian athletic apparel retailer based in Vancouver
- Beyond athletic apparel, they sell other articles of clothing like tops, pants, and jackets
- Target customer is typically a Gen Z or millennial

Ralph Lauren

- Ralph Lauren is a fashion company based in New York
- Ralph Lauren sells primarily premium products – ranging from apparel to accessories
- They target a wide demographic ranging from children to adults

GAP

- Gap is an American international clothing and accessories retailer
- They sell clothes across a wide range, from casual women's, to baby and kids clothes
- Gap's target customer is anyone from children to adults

Aritzia's Shopping Experience

ARITZIA

Aritzia Shopping Experience vs Normal Retail Experience

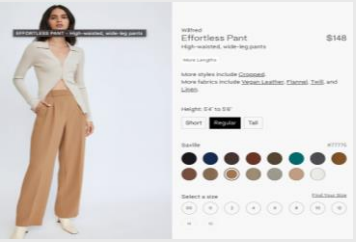
Aritzia

Boutique

Style Advisor

Artwork

Easy to Navigate



Zara

Store

Store Associate

Paper Bags

Exclusive Items

Aritzia cultivates a luxury shopping experience for everyday clothes – an experience difficult to replicate by competitors

Aritzia Inc. (TSX: ATZ)

Consumer Retail Group
Analysts: Emma Hristov, Peter Matthews, Aidan Sommer, Chloe Macklin, Ariana Ghavami, Geoffrey Xie
Researchers: Annie Lai, Chloe Shin, Elisa Shi, Peter Lee, Timothy Ma
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Western Investment Club